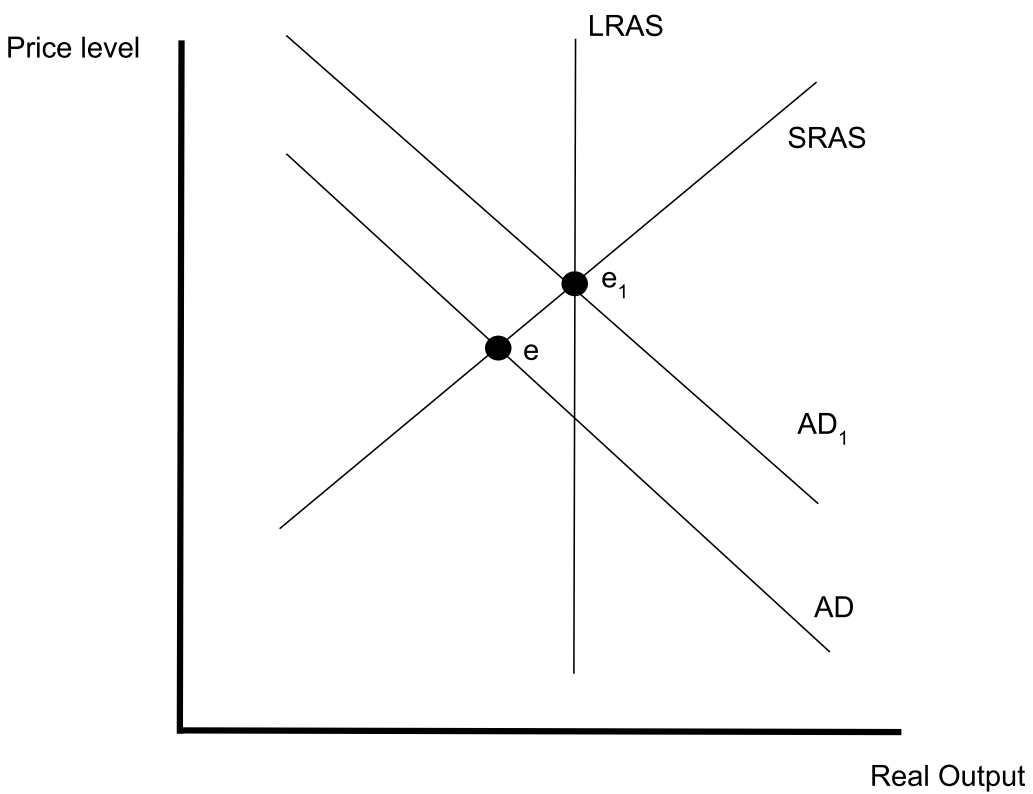


1 A) Define fiscal policy and describe, using a diagram, how it can be used to increase demand.

1 B) Evaluate the costs and benefits of using interest rates to increase the level of aggregate demand.

Diagram A:



1 A)

A Fiscal policy is a policy regarding government spending in the interest of the economy. For example, the government lowering taxes in the idea of increasing aggregate demand, to increase spending, and therefore the nation's GDP. Additionally, this can help with the five macroeconomic goals, like economic growth. As shown in Diagram A, we can see the two lines AD and AD₁. AD₁ shows the aggregate demand after the government has lowered taxes. This means consumers have more disposable income, which is just money after taxes, and they can spend that money on anything they choose. Another example could be a government policy like raising the minimum wage, which would also raise aggregate demand.

1 B)

The idea of using interest rates to increase the level of aggregate demand is to increase GDP through investment and consumer spending. When there are lower interest rates, consumers will have more money to spend on goods and services that they want. They will be spending less money on taxes, and more on spending that will increase GDP. Similarly, businesses will have more money to spend, and they can put more money into investment, or things like research and development. Investment makes up aggregate demand, and therefore putting more money into investment will increase aggregate demand. Lowering the interest rates also lowers saving, which are not beneficial for a nation's economy. The raising of aggregate demand will also play a role in the increase of aggregate supply. This is shown in Diagram A, as we can see the equilibrium go from e to e₁. The increase of aggregate demand will also raise the aggregate supply. There is much higher consumer and producer confidence when there is high spending,

and also with more consumer spending, there is overall more incentive to produce more goods and services. This can also help problems like unemployment, as with higher aggregate supply, producers will hire more workers. However, the problem with lowering interest rates is that this can also lead to inflation. The increased spending leads to shortages, as well as producers simply ramping up prices. Raising interest rates is typically how inflation is combatted, as decreased spending causes a raise in prices to slow down, and lowering interest rates will likely have the opposite effect.